Draft for discussion

Lantern Programme risk review: where we stand and what needs funding

Risk position, movement since September and decisions for the Programme Board

Harbour Mutual Insurance Programme Board | 11 November 2026 | Programme Management Office

Confidential and proprietary. For internal discussion only.

Four of 24 open risks are red, and three of them still have no funded mitigation

24

Open risks

Down from 26 in September

4

Red risks

Two entered the red zone this month

£12.0m

Quantified exposure at P80

Against £6.0m of contingency

3

New risks this period

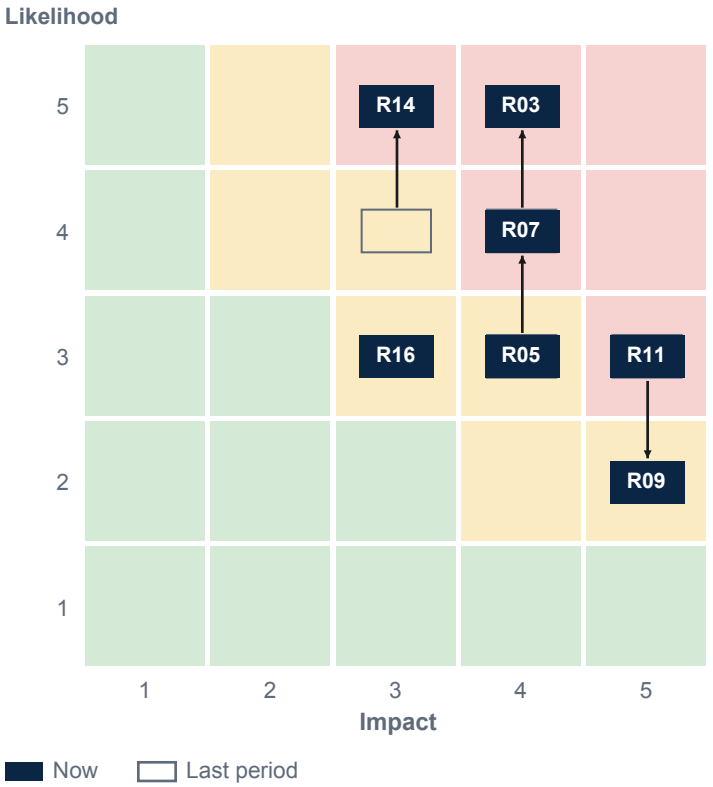
None scores above 9

1. Score = likelihood x impact on a 5 x 5 scale. Red is 15 or more; amber 8 to 14; green 7 or less. Exposure is the P80 cost of risks above the £42.0m base estimate.
Source: Lantern programme risk register, version 14 dated 30 October 2026; PMO analysis. Fictional example.

Four risks are red: two moved up into the red zone this month and the vendor delay worsened again

Top risks, current position and movement

Likelihood x impact, 30 October 2026



ID	Risk	Owner	Score		Mitigation and status
R03	Data migration vendor misses the March 2027 cutover	A. Mensah	**16 → 20**	▲	Options on next page; decision needed 25 Nov
R07	Loss of integration specialists to a competitor	HR director	**12 → 16**	▲	Retention bonus proposal, £0.6m, not yet funded
R11	Regulator approval of the new claims process slips	Compliance head	**15 → 15**	▶	Pre-submission meeting held 22 Oct; submission 8 Dec
R14	Test environment unavailable for 6 weeks in Q1	T. Okafor	**12 → 15**	▲	Second environment quoted at £0.9m
R05	Penetration test finds serious security flaws	CISO	**12 → 12**	▶	Early test booked for 15 Jan
R09	Budget freeze in the first quarter	CFO	**15 → 10**	▼	Funding confirmed to March by the Board
R16	Call centre training not complete by go-live	Operations head	**9 → 9**	▶	Training plan agreed; pilot group trained

▲ Score rising ▶ Unchanged ▼ Score falling

1. Score = likelihood x impact on a 5 x 5 scale. Red is 15 or more; amber 8 to 14; green 7 or less. Arrows show movement since the September review.

Source: Lantern programme risk register, version 14 dated 30 October 2026; PMO analysis. Fictional example.

The vendor delay has three mitigation options, and splitting the cutover by region is the best value

A: Contractual recovery plan

- Vendor adds two engineers at its own cost
- Weekly delivery checkpoint with penalty clauses
- Cutover date stays 22 March 2027
  - But the vendor has missed two plans already
- Owner: A. Mensah

Extra cost
£0.4m

Last region live
22 Mar 2027

Residual score
16

B: Add a second migration partner

- Second partner takes the three smallest product lines
- Needs 10 weeks to onboard
- Cutover date holds on a 22 March 2027 target
- Adds interface risk between two partners
- Owner: Commercial lead

Extra cost
£2.1m

Last region live
22 Mar 2027

Residual score
12

C: Split cutover by region

- North region cuts over 22 March 2027
- South region follows on 17 May 2027
- Vendor load halves in each wave
- Two sets of go-live support needed
- Owner: Delivery director

Extra cost
£1.2m

Last region live
17 May 2027

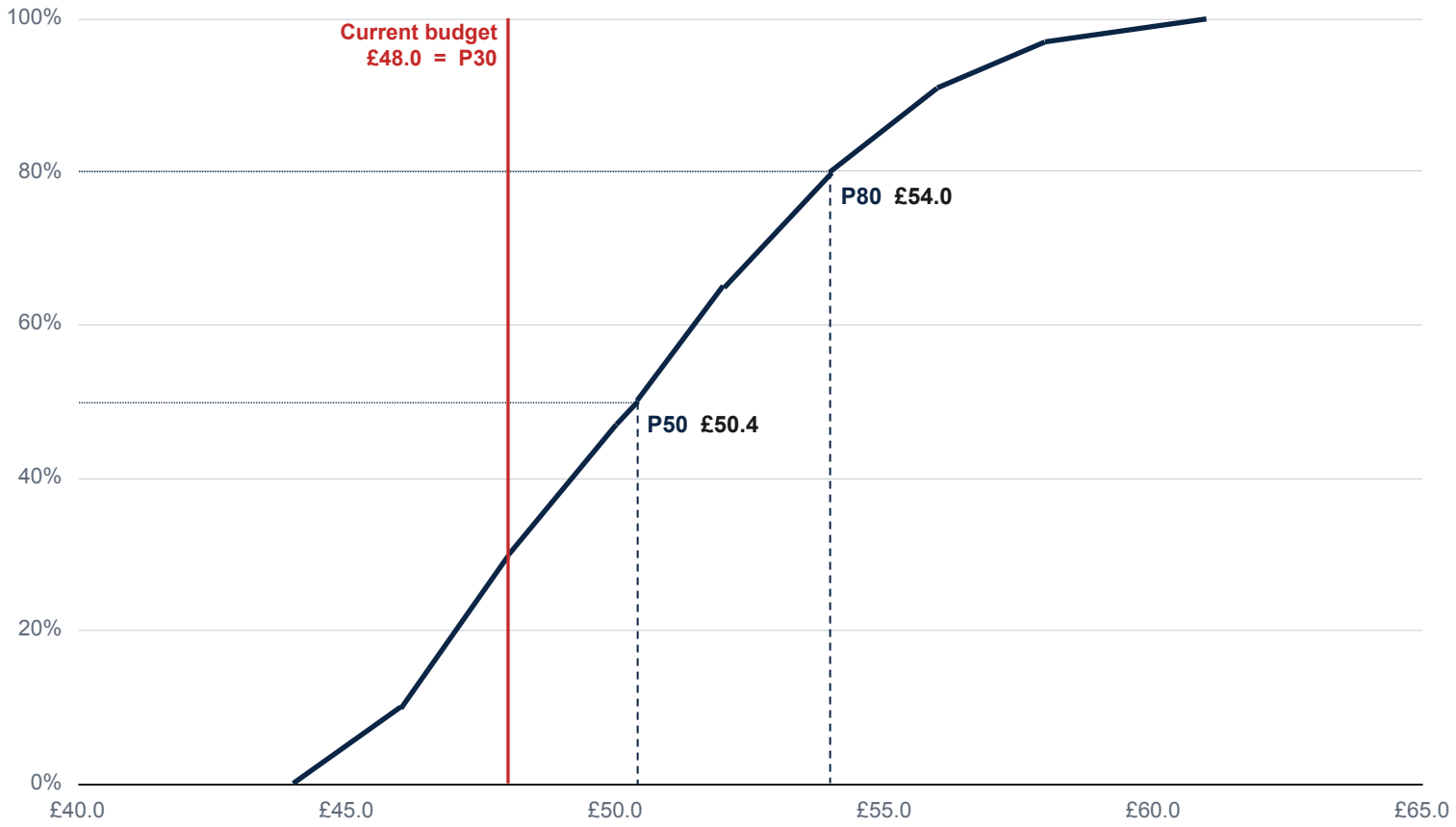
Residual score
9

1. Residual score is the expected likelihood x impact after the option is in place. Cutover dates assume a decision by 25 November 2026.
Source: Lantern programme risk register, version 14 dated 30 October 2026; PMO analysis. Fictional example.

Funding the risks to P80 needs a budget of £54.0m, and today's £48.0m has only a 30% chance of holding

Probability that programme cost is at or below

£m, nominal, 2026 prices



Implication

1. P50 is **£50.4m** and P80 is **£54.0m**, so P80 needs £6.0m more than today's budget.
2. Migration delay and the test environment drive most of the spread.

1. Monte Carlo cost risk analysis, 5,000 iterations, risk register version 14 dated 30 October 2026. Base estimate £42.0m; correlation applied between migration and testing risks.
Source: Lantern programme risk register, version 14 dated 30 October 2026; PMO analysis. Fictional example.

Seven issues and dependencies need action by January, and two issues are already red

Type	ID	Description	Owner	Due	RAG	Status and next action
Issue	I04	Migration vendor has not delivered the second data mapping	A. Mensah	20 Nov	🔴	Escalated to vendor CEO on 4 Nov
Issue	I07	Test environment shared with payments team in Q1	T. Okafor	30 Nov	🟡	Second environment quote received
Issue	I09	Two integration architects resigned in October	HR director	15 Nov	🔴	Replacements interviewing
Dependency	D02	Regulator approval of claims process before May 2027 launch	Compliance head	8 Dec	🟡	Submission on track for 8 Dec
Dependency	D05	Payments team release freeze ends 10 January	Delivery director	10 Jan	🟡	Confirmed in writing
Dependency	D06	Legacy system support contract extended beyond March 2027	CFO	31 Jan	🟢	Draft extension with legal
Dependency	D08	Union consultation on call centre changes complete	Operations head	15 Jan	🟢	Consultation started 2 Nov

🟢 On track 🟡 At risk 🔴 Off track or overdue

Source: Lantern programme risk register, version 14 dated 30 October 2026; PMO analysis. Fictional example.

We ask the Board for three decisions on the four red risks, costing £2.7m in total

#	Decision required	Recommendation and impact	Owner	By
1	**Approve option C: split the data migration cutover by region**	Approve £1.2m from contingency; North live 22 March, South 17 May 2027	Programme Board	25 Nov
2	**Fund a retention bonus for the integration specialists**	Approve £0.6m for 12 named staff, paid in two instalments in 2027	HR director	25 Nov
3	**Buy a second test environment for Q1 2027**	Approve £0.9m; it removes the six-week test gap	Delivery director	25 Nov
4	**Re-run the risk analysis after these decisions**	Note. Report the P80 and the budget confidence at the December Board	PMO lead	9 Dec

Source: Lantern programme risk register, version 14 dated 30 October 2026; PMO analysis. Fictional example.